What a School Leader Can Do

Evidence from rule-based principal exits in Madrid

Paper idea for discussion. October 2026

What can a school leader do when they cannot hire, fire, or pay?

Schools whose teachers value their principal show better climate, more collaboration, better classroom management, and higher teacher wellbeing (OECD, TALIS 2018). None of it is causal: good schools may simply make their principals look good.

Why Spain: the leader changes, the staff does not

The principal	A teacher elected by colleagues for a four-year term, who returns to the classroom afterwards. The successor comes from the same staff.
Personnel power	None. Teachers are civil servants assigned by the regional administration. The principal cannot hire, dismiss, set pay, or change the curriculum.
What is left	The organization of the school: who teaches which class, how time and support hours are used, the plan and its priorities, discipline, the relation with families, in-school training.
Terms end by rule	Compulsory retirement at 65, and at most two renewals: twelve years in office. Both dates are fixed years in advance, regardless of how the school is doing.

Evidence that principals matter comes from the United States, where the identified channel is the management of the teaching force (Branch, Hanushek, and Rivkin, 2012; Grissom, Egalite, and Lindsay, 2021). Here that channel is closed.

Identification: a principal's clock



Treated Schools whose clock runs out in 2016, 2017, or 2018: a new principal arrives for reasons unrelated to the school's trajectory.

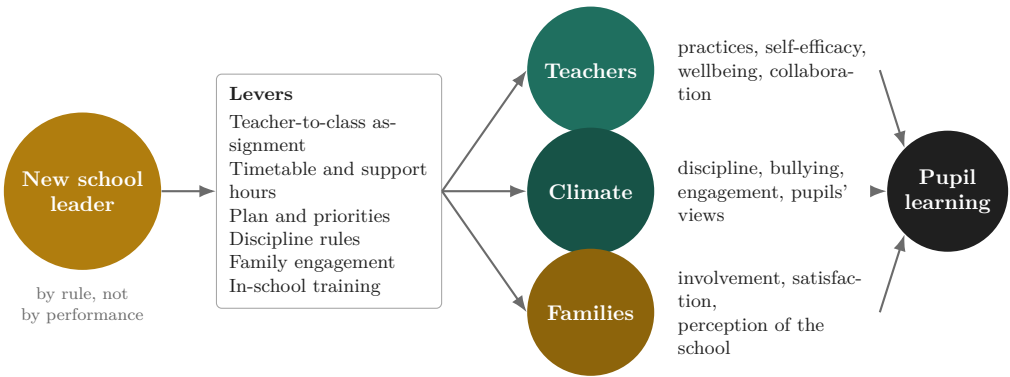
Comparison Schools whose clock runs out later. Staggered event study on the calendar; 2SLS for the realized change.

Benchmark Exits that are not rule-based (resignations, non-renewals) kept separate: they measure the selection the literature worries about (Miller, 2013; Bartanen, Grissom, and Rogers, 2019).

The successor Observed as a classroom teacher the year before taking office: practices, wellbeing, views on the school.

Counts

Causal map



The arrow on the left is the one we identify. The levers are the only ones a Spanish principal has.

What we would test, in the order effects should appear

	Hypothesis	Measured with	When
H1	The new leader reassigns teachers and support hours across classrooms	Schedules, class composition	Year 1
H2	Discipline and classroom climate change	Pupil and teacher reports	Years 1–2
H3	Family involvement and satisfaction change	Parent survey	Years 1–2
H4	Teacher self-efficacy and wellbeing change	Teacher survey	Years 1–2
H5	The same teachers change their classroom practice	Teacher survey, within teacher	Years 2–3
H6	Achievement moves, by subject	Standardized tests, pupil value added	Last

Preregistered indices by domain; achievement is the last link, not the first. If rows 1 to 4 do not move, a result in row 6 would be hard to believe.

Three parameters, not one

Mean	The cost of forced rotation: what a change of leader that nobody asked for does to the school. Madrid imposes it with the twelve-year cap.
Variance	Whether leaders matter at all: outcomes should disperse more after a rule-based exit than in an ordinary year if the identity of the leader matters (Jones and Olken, 2005).
Heterogeneity	What makes a good one, with measures fixed before office: the successor's own practices as a teacher, the selection committee's grade of their project, the staff's rating of the outgoing principal.

The variance test needs no classification of who is good. The heterogeneity does, and uses only what was observed before the leader took office.

Data

In hand	Universe of Madrid public primary schools, 2015 to 2018. Principal questionnaire. Teachers: practices, wellbeing, training. Schedules: who teaches which class. All pupils by classroom: scores by subject, perceptions. All parents by classroom: involvement, satisfaction.
To collect	Principal appointments, renewals, and exits with cause (BOCM). The committee's grade of each project. Teacher assignment lists: chosen versus imposed posts. School plans from archived websites. Public school-level results from 2022: the long run.
Rotation	136 principals selected and 36 unplanned vacancies in 2016–17 across 1,156 public centres; 336 changes in 2017. Roughly 400 to 500 changes in primary over the three transitions, of which the rule-based subset is to be counted.

Three things to decide

- **Which mechanisms go first.** Which levers and domains on the map do we believe a new principal actually moves in year one?
- **What the data must have.** A stable teacher identifier across years; the principal's age and years in office; the survey items that rate the principal.
- **How many rule-based exits there are** in 2015 to 2018, and whether the Consejería can add appointment records and later years.

References

Bartanen, B., J. A. Grissom, and L. Rogers. 2019. "The Impacts of Principal Turnover." *Educational Evaluation and Policy Analysis* 41(3): 350–374.

Böhlmark, A., E. Grönqvist, and J. Vlachos. 2016. "The Headmaster Ritual: The Importance of Management for School Outcomes." *Scandinavian Journal of Economics* 118(4): 912–940.

Branch, G. F., E. A. Hanushek, and S. G. Rivkin. 2012. "Estimating the Effect of Leaders on Public Sector Productivity: The Case of School Principals." NBER Working Paper 17803.

Fenizia, A. 2022. "Managers and Productivity in the Public Sector." *Econometrica* 90(3): 1063–1084.

Grissom, J. A., A. J. Egalite, and C. A. Lindsay. 2021. *How Principals Affect Students and Schools: A Systematic Synthesis of Two Decades of Research.* Wallace Foundation.

Jones, B. F., and B. A. Olken. 2005. "Do Leaders Matter? National Leadership and Growth Since World War II." *Quarterly Journal of Economics* 120(3): 835–864.

Miller, A. 2013. "Principal Turnover and Student Achievement." *Economics of Education Review* 36: 60–72.

Backup: how much rotation is there?

Year	All public centres (1,156)
2016–17	136 principals appointed through selection; 36 unplanned vacancies (retirement, transfer, resignation, no candidate)
2017	336 changes of principal; 47 direct appointments by the administration (14%)

Sources: Comunidad de Madrid press release, 2016; Diagonal, 2017 (secondary). Primary schools are about 800 of the 1,156 centres. The rule-based subset (age 65, twelve-year cap) is to be counted in the panel from the principal's age and years in office.

Back